

Section : Economics

Q.1 The equation of the demand curve: $pq = e$, where e is a constant.

Select the INCORRECT statement:

1. The demand curve is a rectangular hyperbola.
2. The value of p times q is constant.
3. The elasticity of demand at all points located on this demand curve is greater than 1.
4. At every point of consumption, the expenditure remains the same.

Options 1. 1

2. 2

3. 3

4. 4

Q.2 Which of the following are correct statements regarding Gross Domestic Product (GDP)?

- (A) GDP is a measure of the welfare of a country.
- (B) Real GDP is measured at current market prices.
- (C) Expenditure method estimate = Income Method estimate = Product Method estimate = GDP of a country.
- (D) Gross National Product at factor cost = GDPMP + Net factor income from abroad.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.3 If the market rate of interest is already low enough so that everybody expects it to rise in future, causing capital losses, nobody will wish to hold bonds. This situation is called.....

1. Jevons Paradox
2. Liquidity trap
3. Paradox of thrift
4. Double coincidence of wants

Options 1. 1

2. 2

3. 3

4. 4

Q.4 When the government has taken certain decision that can be financed through the budget and can be used without any direct payment. Such move is known as.....

1. Public Provision.
2. Public Production.
3. Public Goods.
4. Private Goods.

Options 1. 1

2. 2

3. 3

4. 4

Q.5 Suppose there is a fresh deposit of Rs. 10,000 in banks and cash reserve ratio is 0.5. How much is total deposit creation?

1. 20,000
2. 50,000
3. 10,000
4. 5000

Options 1. 1

2. 2
3. 3
4. 4

Q.6•

Match List-I with List-II

List-I

- (A) An increase in proportional taxes
- (B) An increase in lump-sum taxes
- (C) Proportional income tax
- (D) Lump sum taxes

List-II

- (I) Decreases consumption by MPC times the change in taxes.
- (II) Automatic Stabilizer.
- (III) Aggregate demand curve shift inwards.
- (IV) Do not depend upon income.

Choose the correct answer from the options given below:

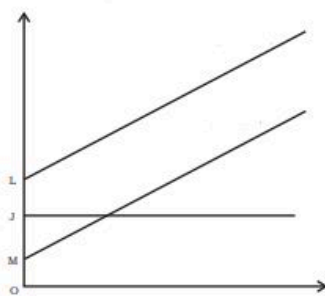
1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (I), (B) - (III), (C) - (II), (D) - (IV)
3. (A) - (III), (B) - (I), (C) - (II), (D) - (IV)
4. (A) - (III), (B) - (I), (C) - (IV), (D) - (II)

Options

1. 1
2. 2
3. 3
4. 4

Q.7

From the following figure, how to obtain an aggregate demand function?



1. OM
2. JM
3. LM
4. OL

Options

1. 1
2. 2
3. 3
4. 4

Q.8 The Reserve Bank sells foreign exchange when there is a deficit. This move of RBI is known by which of the following?

1. Official reserve sale.
2. Balance of payments deficit.
3. Balance of payments surplus.
4. Balance of trade.

Options

1. 1
2. 2
3. 3
4. 4

Q.9 Whatever is left over is appropriated by the entrepreneur is called.....

1. Profit.
2. Interest.
3. Subsidies.
4. Capital.

Options 1. 1

2. 2
3. 3
4. 4

Q.10 Addition to the stock of physical capital and changes in the inventory of a producer is known as:

1. Asset Appreciation.
2. Consumption.
3. Stock.
4. Investment.

Options 1. 1

2. 2
3. 3
4. 4

Q.11 Select the **INCORRECT** condition for profit maximisation in the perfect market.

1. The price must equal to MC.
2. Marginal cost must be non-decreasing.
3. Price must be less than the average cost.
4. Price must be greater than the average cost.

Options 1. 1

2. 2
3. 3
4. 4

Q.12 Match List-I with List-II

List-I

List-II

(A) Cardinal utility

(I) Ranking consumption bundles.

(B) Perfect substitute goods

(II) Level of utility can be expressed in numbers.

(C) Ordinal Utility

(III) The marginal Rate of Substitution is 1.

(D) Complimentary goods

(IV) An increase in the price of one good does not lead to an increase in demand for another good.

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (IV), (C) - (III), (D) - (II)
2. (A) - (II), (B) - (III), (C) - (I), (D) - (IV)
3. (A) - (I), (B) - (IV), (C) - (II), (D) - (III)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.13 Which of the following constitutes as 'leakages' from the circular flow of income.

- (A) Domestic Savings.
- (B) Imports.
- (C) Outward Foreign Direct Investment.
- (D) Investment.

Choose the correct answer from the options given below:

- 1. (A), (B) and (C) only
- 2. (A), (B), (C) and (D)
- 3. (B), (C) and (D) only
- 4. (A), (B) and (D) only

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.14 When autonomous investment increases in a two-sector model, then.

- 1. The aggregate demand curve shifts upwards.
- 2. Output/GDP increases by the same magnitude as the change in investment.
- 3. Autonomous expenditure increases by the same magnitude as the change in investment.
- 4. The consumption curve shifts upwards.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.15 Which of the following approach measures economic activity by adding the aggregate value of final goods and services newly produced in a nation during a fixed period of time?

- 1. Product Method.
- 2. Income Method.
- 3. Gross Value Added Method.
- 4. Expenditure Method.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.16 Suppose, in a flexible exchange rate system, demand for foreign goods and services increases due to increased international travel by Indians. Arrange the following statements in correct sequence.

- (A) Exchange rate increases.
- (B) Exports from India become more affordable for foreigners.
- (C) India's income increases by keeping other factors constant.
- (D) The demand curve shifts towards the right.

Choose the correct answer from the options given below:

- 1. (D), (B), (C), (A)
- 2. (D), (C), (B), (A)
- 3. (D), (A), (B), (C)
- 4. (D), (B), (A), (C)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.17 Choose the correct statements from the following.

- (A) The collection of all possible combinations of goods and services that can be produced from a given amount of resources and a given stock of technological knowledge is called the production possibility frontier.
- (B) Slope of production possibility frontier is called marginal opportunity cost.
- (C) In positive economic analysis, we study how the different mechanisms function.
- (D) Scarcity of resources gives rise to the problem of choice.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.18 Arrange the following statements in sequential order.

- (A) Aggregate demand will increase.
 - (B) Induce the public to borrow more.
 - (C) Central Bank will decrease the reverse repo rate.
 - (D) Ex-ante aggregate demand is less than Ex-ante aggregate supply
- Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (D), (C), (B), (A)
4. (A), (B), (D), (C)

Options 1. 1

2. 2
3. 3
4. 4

Q.19 Among the following, what is assumed as the appropriate justification for taking the price level as fixed?

1. An economy with unskilled workforce.
2. An economy having scarcity of resources.
3. An economy with excess use of resources.
4. An economy with unused resources.

Options 1. 1

2. 2
3. 3
4. 4

Q.20 Defense of the nation is a service provided by our armed forces. This service is.

1. Non -Public good which is non-rival and non excludable in consumption.
2. Public good which is non-rival and non excludable in consumption.
3. Non -Public good which is rival and non-excludable in consumption.
4. Public good which is rival and non-excludable in consumption.

Options 1. 1

2. 2
3. 3
4. 4

Q.21 Select the INCORRECT feature of the market with respect to perfect competition.

1. The market consists of a large number of buyers and sellers.
2. Entry into the market as well as exit from the market are free for firms.
3. Buyers are price makers.
4. There is perfect knowledge.

Options 1. 1

2. 2
3. 3
4. 4

Q.22 Two indifference curves can never intersect each other as.....

1. They give the same level of satisfaction.
2. They give different levels of satisfaction.
3. They are concave to the origin.
4. They are convex to the origin.

Options 1. 1

2. 2

3. 3

4. 4

Q.23 Arrange the following in chronological order.

(A) Barter System

(B) Currency notes

(C) Precious metals

(D) Online transfer of money.

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)

2. (A), (C), (B), (D)

3. (B), (A), (D), (C)

4. (C), (B), (D), (A)

Options 1. 1

2. 2

3. 3

4. 4

Q.24 In the consumption function $C = \bar{C} + cY$, autonomous consumption denoted by:

1. C

2. cY

3. $\bar{C}$

4. Y

Options 1. 1

2. 2

3. 3

4. 4

Q.25 Arrange the following statements in chronological order in respect to the increase in the proportion of income people save.

(A) Marginal propensity to consume decreases.

(B) The level of income decreases.

(C) The amount of savings remains the same.

(D) The aggregate demand curve shifts downwards.

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)

2. (A), (C), (B), (D)

3. (B), (A), (D), (C)

4. (A), (D), (B), (C)

Options 1. 1

2. 2

3. 3

4. 4

Q.26 From the following which is incorrect with respect to firm's profit maximization in long run?

1. Price = Long Run Marginal Cost

2. LRMC is first decreasing and then increasing

3. Price = Short Run Marginal Cost

4. Price $\geq$ Long Run Average Variable Cost

Options 1. 1

2. 2

3. 3

4. 4

Q.27 Suppose in the long run, the government imposed a tax on the supply of a commodity. How does it affect the equilibrium quantity of commodity?

1. The quantity of commodity will decrease.

2. The quantity of commodity will increase.

3. The quantity of commodity will remain same.

4. The supply curve will shift rightwards which will decrease quantity of commodity.

Options 1. 1

2. 2
3. 3
4. 4

Q.28 How will an increase in the consumer's income affect the budget line?

1. Parallel inward shift of budget line.
2. Parallel outwards shift in budget line.
3. The budget line rotates outwards.
4. Budget line rotates and shifts outwards.

Options 1. 1

2. 2
3. 3
4. 4

Q.29

Match List-I with List-II

List-I

(A) Percentage of deposits that a bank keep as reserve with Central Bank

(B) Banks Assets

(C) Lender of the last Resort

(D) M_3

List-II

(I) Reserves + Loan.

(II) Central Bank of a country.

(III) Aggregate Monetary Resources.

(IV) Cash Reserve Ratio.

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (IV), (B) - (I), (C) - (II), (D) - (III)
3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.30 Why does central bank is called the lender of last resort?

1. It lends money to the government to finance its budget deficit.
2. Central bank lends money to trade and industry to support their export operations.
3. When a country runs out of money, the central bank prints more money.
4. Central bank lends money to banks at all times.

Options 1. 1

2. 2
3. 3
4. 4

Q.31 Which of the following statements about national debt are correct?

- (A) Deficit can be thought of as a flow variable which adds to the stock of debt
- (B) The government finances debt through taxation, borrowing or printing money
- (C) Debt owned to foreigners involves a higher burden than debt owned to domestic agents and institutions
- (D) Government's debt financing crowds out private borrowers in financial markets

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.32

Match List-I with List-II

List-I

List-II

- | | |
|-------------------------------|---|
| (A) Macroeconomics | (I) We study the behavior of aggregate measures of the performance of the economy. |
| (B) Mixed economy | (II) All important decisions regarding production, exchange and consumption of goods and services are made by the government. |
| (C) Market | (III) Some important decisions are taken by the government and the economic activities are by and large conducted through the market. |
| (D) Centrally planned economy | (IV) A set of arrangements where economic agents can freely exchange their endowments or products with each other. |

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (III), (C) - (II), (D) - (IV)
2. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
3. (A) - (I), (B) - (III), (C) - (IV), (D) - (II)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options

1. 1
2. 2
3. 3
4. 4

Q.33 If demand remains constant at any changes in price of commodity then the elasticity of demand for that commodity will be.....

1. Zero
2. One
3. Between one and zero
4. Infinite

Options

1. 1
2. 2
3. 3
4. 4

Q.34 The wage rate at which the labour market is in equilibrium is a point where.

1. Labour demand=0
2. Labour Demand= Labour Supply
3. Labour Supply=Labour Demand=0
4. Wages= Marginal Revenue from labour x Price

Options

1. 1
2. 2
3. 3
4. 4

Q.35 From the following statements choose the effects of devaluation of domestic currency.

- (A) Exchange rate is fixed.
- (B) Indian Government increases the exchange rate.
- (C) Domestic currency become cheaper.
- (D) The Exports of India will rise.

Choose the correct answer from the options given below:

1. (A), (B), (D), (C).
2. (A), (B), (C), (D)
3. (B), (C), (A), (D)
4. (D), (B), (C), (A).

Options

1. 1

2. 2
3. 3
4. 4

Q.36 When the price elasticity of supply is equal to zero. Then.....

1. Supply curve is sloping downward.
2. Supply curve is horizontal.
3. Supply curve is upwards sloping.
4. Supply curve is vertical.

Options 1. 1

2. 2
3. 3
4. 4

Q.37 Match List-I with List-II

List-I

(A) Demand shifts right and supply remains unchanged.

(B) Supply shifts right and demand remains unchanged.

(C) Demand shifts left and supply shifts left.

(D) Supply shifts right and demand shifts right.

List-II

(I) Price increase, quantity increases.

(II) Price decrease, quantity increases.

(III) Quantity decreases.

(IV) Quantity increases.

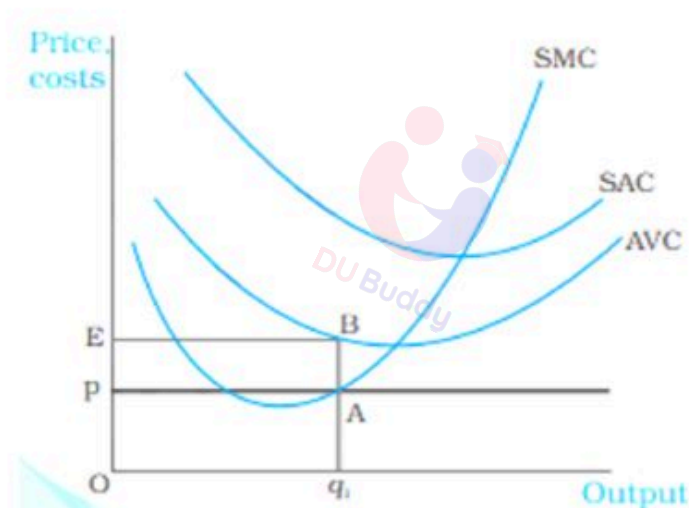
Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (II), (B) - (I), (C) - (III), (D) - (IV)
3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.38



The firm's total variable cost at output q_1 is

1. The area of rectangle $OpAq_1$
2. The area of rectangle $OEBq_1$
3. the area of rectangle $OpAq_1$ – the area of rectangle $OEBq_1$
4. $\tan \theta$

Options 1. 1

2. 2

3. 3

4. 4

Q.39 How much consumption will increase when income increases by Rs. 5000 at given marginal propensity to consume of 0.60.

1. Increase in consumption= Rs. 5000
2. Increase in consumption= Rs. 4000
3. Increase in consumption= Rs. 3000
4. Increase in consumption= Rs. 2000

Options 1. 1

2. 2

3. 3

4. 4

Q.40 Which of the following are part of Capital account.

- (A) Foreign Direct Investment.
- (B) Offshore Funds.
- (C) Portfolio Investment.
- (D) Repayment of Loans.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.41 Read the passage carefully and answer the questions based on the passage:

Law of Variable Proportion and Return to Scale.

The law of variable proportions arises because factor proportions change

as long as one factor is held constant and the other is increased. What if both factors can change? Remember that this can happen only in the long run. When a proportional increase in all inputs results in an increase in output by the same proportion, the production function is said to display Constant returns to scale (CRS).

When a proportional increase in all inputs results in an increase in output by a larger proportion, the production function is said to display Increasing Returns to Scale (IRS). Decreasing Returns to Scale (DRS) holds when a proportional increase in all inputs results in an increase in output by a smaller proportion.

The core reason behind the arising law of proportion is.....

1. Factor proportion changes with keeping one factor constant.
2. Decrease in all input.
3. Increase in all input.
4. All factors remain constant.

Options 1. 1

2. 2
3. 3
4. 4

Q.42 Read the passage carefully and answer the questions based on the passage:

Law of Variable Proportion and Return to Scale.

The law of variable proportions arises because factor proportions change as long as one factor is held constant and the other is increased. What if both factors can change? Remember that this can happen only in the long run. When a proportional increase in all inputs results in an increase in output by the same proportion, the production function is said to display Constant returns to scale (CRS).

When a proportional increase in all inputs results in an increase in output by a larger proportion, the production function is said to display Increasing Returns to Scale (IRS). Decreasing Returns to Scale (DRS) holds when a proportional increase in all inputs results in an increase in output by a smaller proportion.

When output increases with the larger proportion compare to increase in inputs, this return is called?

1. Decreasing Return to scale.
2. Increasing return to scale.
3. Constant Return to scale.
4. Diminishing Marginal Product.

Options 1. 1

2. 2
3. 3
4. 4

Q.43 Read the passage carefully and answer the questions based on the passage:

Law of Variable Proportion and Return to Scale.

The law of variable proportions arises because factor proportions change as long as one factor is held constant and the other is increased. What if both factors can change? Remember that this can happen only in the long run. When a proportional increase in all inputs results in an increase in output by the same proportion, the production function is said to display Constant returns to scale (CRS).

When a proportional increase in all inputs results in an increase in output by a larger proportion, the production function is said to display Increasing Returns to Scale (IRS). Decreasing Returns to Scale (DRS) holds when a proportional increase in all inputs results in an increase in output by a smaller proportion.

When output increases with the same proportion as increase in inputs, this concept is known by?

1. Marginal diminishing returns.
2. Decreasing return to scale.
3. Increasing return to scale.
4. Constant Return to scale.

Options 1. 1

2. 2
3. 3

Q.44 Read the passage carefully and answer the questions based on the passage:

Law of Variable Proportion and Return to Scale.

The law of variable proportions arises because factor proportions change as long as one factor is held constant and the other is increased. What if both factors can change? Remember that this can happen only in the long run. When a proportional increase in all inputs results in an increase in output by the same proportion, the production function is said to display Constant returns to scale (CRS).

When a proportional increase in all inputs results in an increase in output by a larger proportion, the production function is said to display Increasing Returns to Scale (IRS). Decreasing Returns to Scale (DRS) holds when a proportional increase in all inputs results in an increase in output by a smaller proportion.

Suppose in a production process, all inputs get doubled. As a result, if the output gets doubled, the production function exhibits?

1. Decreasing Return to scale.
2. Increasing Returns to scale.
3. Constant Return to scale.
4. Decreasing Productivity.

Options 1. 1

2. 2

3. 3

4. 4

Q.45 Read the passage carefully and answer the questions based on the passage:

Law of Variable Proportion and Return to Scale.

The law of variable proportions arises because factor proportions change as long as one factor is held constant and the other is increased. What if both factors can change? Remember that this can happen only in the long run. When a proportional increase in all inputs results in an increase in output by the same proportion, the production function is said to display Constant returns to scale (CRS).

When a proportional increase in all inputs results in an increase in output by a larger proportion, the production function is said to display Increasing Returns to Scale (IRS). Decreasing Returns to Scale (DRS) holds when a proportional increase in all inputs results in an increase in output by a smaller proportion.

When output increases with smaller proportion compare to increase in inputs, this return is called?

1. Decreasing Return to scale
2. Increasing Return to scale.
3. Constant Return to scale.
4. Incremental Productivity.

Options 1. 1

2. 2

3. 3

4. 4

Q.46 Read the passage carefully and answer the questions based on the passage:

Composition of GDP: Income Method

S.No.	Items	Estimates (in crores)
1	Compensation for employees	2000
2	Rent	20
3	Interest	30
4	Royalty	40
5	Profit	50
6	Mixed income for self-employed	1000
7	Net factor income from abroad	-3

S.No.	Items	Estimates (in crores)
8	Indirect taxes	500
9	Subsidies	400
10	Depreciation	260

Calculate Gross Domestic Product at market price (GDPMP).

1. Rs. 3500 crores
2. Rs. 3137 crores
3. Rs. 3140 crores
4. Rs. 3000 crores

Options 1. 1

2. 2
3. 3
4. 4

Q.47 Read the passage carefully and answer the questions based on the passage:

Composition of GDP: Income Method

S.No.	Items	Estimates (in crores)
1	Compensation for employees	2000
2	Rent	20
3	Interest	30
4	Royalty	40
5	Profit	50
6	Mixed income for self-employed	1000
7	Net factor income from abroad	-3
8	Indirect taxes	500
9	Subsidies	400
10	Depreciation	260

Calculate Net National Product at Market Price (NNPMP).

1. Rs. 3000 crores
2. Rs. 3200 crores
3. Rs. 3137 crores
4. Rs. 3237 crores

Options 1. 1

2. 2
3. 3
4. 4

Q.48 Read the passage carefully and answer the questions based on the passage:

Composition of GDP: Income Method

S.No.	Items	Estimates (in crores)
1	Compensation for employees	2000
2	Rent	20
3	Interest	30
4	Royalty	40
5	Profit	50
6	Mixed income for self-employed	1000
7	Net factor income from abroad	-3
8	Indirect taxes	500
9	Subsidies	400
10	Depreciation	260

Calculate Net National Product at factor cost (NNPFC).

1. Rs. 3000 crores
2. Rs. 3137 crores
3. Rs. 3140 crores
4. Rs. 3500 crores

Options 1. 1

2. 2
3. 3
4. 4

Q.49 Read the passage carefully and answer the questions based on the passage:

Composition of GDP: Income Method

S.No.	Items	Estimates (in crores)
1	Compensation for employees	2000
2	Rent	20
3	Interest	30
4	Royalty	40
5	Profit	50
6	Mixed income for self-employed	1000
7	Net factor income from abroad	-3
8	Indirect taxes	500
9	Subsidies	400
10	Depreciation	260

Calculate Net Domestic Product at factor cost (NDPFC).

1. Rs. 3000 crore
2. Rs. 3137 crore
3. Rs. 3140 crore
4. Rs. 3500 crore

Options 1. 1

2. 2
3. 3
4. 4

Q.50 Read the passage carefully and answer the questions based on the passage:

Composition of GDP: Income Method

S.No.	Items	Estimates (in crores)
1	Compensation for employees	2000
2	Rent	20
3	Interest	30
4	Royalty	40
5	Profit	50
6	Mixed income for self-employed	1000
7	Net factor income from abroad	-3
8	Indirect taxes	500
9	Subsidies	400
10	Depreciation	260

Calculate Operating surplus.

1. Rs. 140
2. Rs. 50
3. Rs. 540
4. Rs. 137

Options 1. 1

2. 2

3. 3

4. 4

